

second quarter and the S&P 500 should have been in sync with that. What's more, of the 500 companies in the S&P 500, about 450 of them were doing terribly. Retail, travel, energy, entertainment, dining saw sales evaporate. Bankruptcies were piling up—legendary retailer Lord & Taylor was one of many. Yet, the S&P 500, after a huge plunge in March, rallied the rest of the year.

Although high-visibility industries may be of considerable significance to the economy, they are not very significant to the capitalization-weighted stock market indexes.

Consider how little these beaten-up sectors affect market indices: Department stores may have fallen 63%, but on a market-cap basis they were a mere 0.01% of the S&P 500. Airlines were larger, but still weighed in at only 0.18% of the index. The story is the same for travel services, hotel and motel REITs, and resorts and casinos. The table shows the cap weightings of sectors in July 2020.